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# China Healthcare

## Domestic and Overseas Innovative Drug Financing Soars in 1H26

### CITI'S TAKE

According to PharmaCube, China's innovative drugs primary market financing maintained high growth of 208% yoy in Jun 2026 and 1H26 financing size also soared 188% yoy. Overseas innovative drugs primary market financing rose 166% yoy in Jun 2026, with 1H26 amount growing 32% yoy. Separately, the total financing size for innovative drugs (in primary and secondary markets) in China increased 15% yoy to Rmb10bn in Jun 2026, concluding 1H26 financing size growth of 35%. We think these are positive signals for CDMO and CRO players, supporting new orders and price lift potential; our top picks are Wuxi Apptec and Wuxi Biologics. We think Wuxi XDC, Pharmaron and Tigermed will also benefit.

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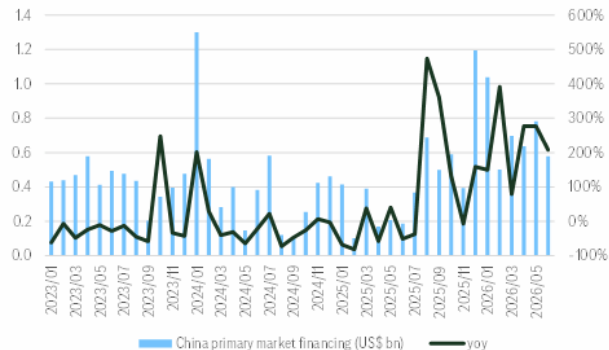
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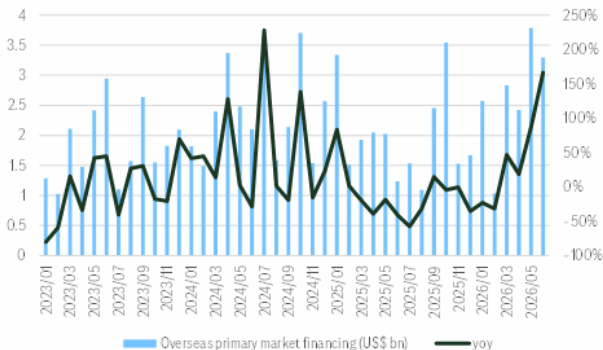
Figure 1. China innovative drugs primary market financing



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Source: Citi Research, PharmaCube

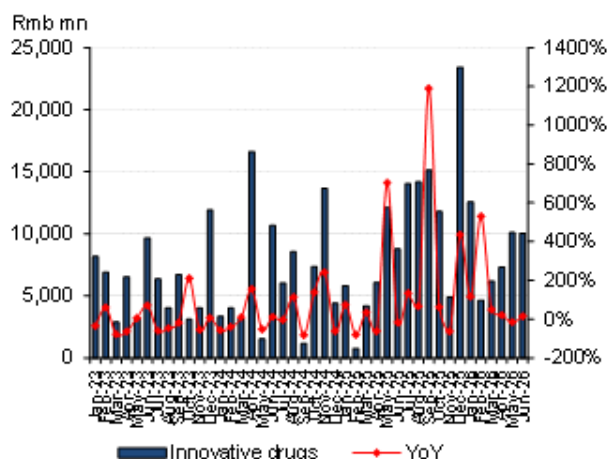
Figure 2. Overseas innovative drugs primary market financing



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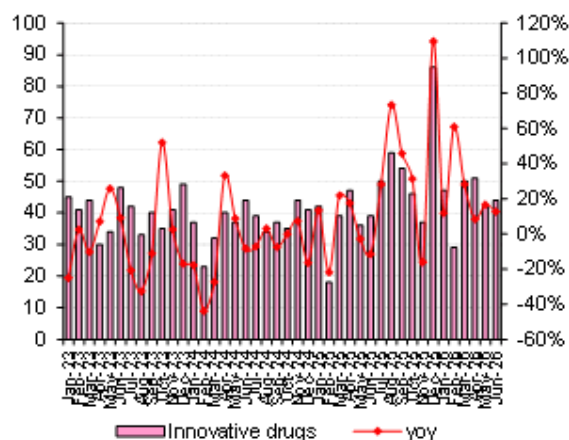
Figure 3. Innovative drugs financing size in China



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Figure 4. No. of innovative drugs financing events in China



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### Companies Mentioned:

Pharmaron (300759.SZ; Rmb30.8; 1; 06 Jul 26; 15:00) | Pharmaron (3759.HK; HK\$20.58; 1; 06 Jul 26; 16:10) | Tigermed (300347.SZ; Rmb48.9; 1; 06 Jul 26; 15:00) | Tigermed (3347.HK; HK\$37.42; 1; 06 Jul 26; 16:10) | WuXi AppTec (603259.SS; Rmb122.97; 1; 06 Jul 26; 15:00) | WuXi AppTec (2359.HK; HK\$155.5; 1; 06 Jul 26; 16:10) | Wuxi Biologics (2269.HK; HK\$37.8; 1; 06 Jul 26; 16:10) | WuXi XDC Cayman Inc. (2268.HK; HK\$63.45; 1; 06 Jul 26; 16:10)

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